

City of Arroyo Grande

Annual

Development Impact Fee Report and Water and Sewer Capacity Fee Report

Fiscal Year 2024-25

Background

The City of Arroyo Grande (City) is located in Southern San Luis Obispo County. The City borders the incorporated cities of Pismo Beach and Grover Beach on the west, and adjoins unincorporated County territory along its other boundaries.

The Mitigation Fee Act (Government Code Sections 66000 et seq.), established by AB 1600, requires local agencies to provide an accounting of impact fees imposed on development projects. These fees are intended to mitigate certain impacts of development projects on City facilities and infrastructure.

The accounting and reporting responsibilities of AB 1600 require the City to provide a detailed reporting of the use of development impact fees every year in accordance with Government Code section 66006.

Annual Development Impact Fee Reporting Requirements

Pursuant to Government Code section 66006(b), the City is required to make available to the public the following information each year:

1. A brief description of the type of fee in the account.
2. The amount of the fee.
3. The account's beginning and ending balance.
4. The amount of fees collected and the interest earned.
5. A description of the improvements on which the funds were expended and the amount expended on each improvement, including the percentage of the improvement funded with development impact fees.
6. An approximate date by which the construction of a public improvement will begin if the City determines that sufficient funds have been collected to complete financing on the incomplete improvement.
7. A description of each interfund transfer or loan made from the account, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid, and the rate of interest that the account or fund will receive on the loan.
8. The amount of any refunds made for failing to identify the approximate date by which construction of the public improvement will commence within 180 days of the local agency's determination that sufficient funds have been collected to complete financing on an incomplete public improvement.
9. Identify all public improvements identified in previous annual reports as having sufficient funding for completion, and whether construction began on the approximate date previously listed. If construction did not begin on the approximate date listed in a prior report, the annual report must include the reason for the delay and a revised approximate date that construction will begin.
10. Specify the number of persons and entities identified to receive refunds.

List of City's Development Impact Fees

There are twelve active Development Impact Fees identified as subject to AB 1600 reporting requirements.

1. Fire Protection Fund (Fund 210)
2. Police Protection Fund (Fund 212)
3. Park Facilities Fund (Fund 213)
4. Park Improvement Fund (Fund 214)
5. Recreation Facilities Fund (Fund 215)
6. Traffic Signalization Fund (Fund 222)
7. Transportation Facility Impact Fund (Fund 224)
8. Water Neutralization Impact Fund (Fund 226)
9. Storm Drain Facility Fund (Fund 231)
10. Water Availability Fund (Fund 241)
11. Sewer Facility Fund (Fund 634)
12. Water Facility Fund (Fund 642)

Commencement of Annual DIF Reports for Each Fund

The first annual report for the Traffic Signalization Fee, the Transportation Facility Fee, and the Drainage Facility Fee was required in January 1999. The first annual report for the Water Neutralization Fee was in 2003. The first annual report for the Fire Protection Fee, the Police Facilities Fee, the Community Center Fee, and the Park Improvement Fee was in 2005.

Separation of Funds and Interest

The City utilizes fund accounting to track and segregate Development Impact Fees from other City revenues. Although the City pools its cash for investment purposes, interest income is allocated to each of the funds based on their respective cash balances. Staff examined the accounts to determine if any Development Impact Fees remain unexpended. No interfund transfers or loans have been made to any of the Development Impact Funds. The most recent Development Impact Fee Study was prepared in 2024.

Fire Protection Fund (Fund 210)

The purpose of the Fire Protection Fee is to ensure that new development funds its share of fire protection facilities. The City owns a single fire station. The City is planning to spend fire facilities fee revenues on an expansion and reconfiguration of the sleeping quarters at the fire station. This will allow the Five Cities Fire Authority to increase staffing and service capacity as the City grows. The 10-Year Capital Improvement Project (CIP) schedule includes a Fire Station 1 Expansion and Reconfiguration of the Sleeping Quarters in FY 2028-29 totaling \$150,000.

The Current Amount of the DIF for Residential per square foot is \$0.24 and for Nonresidential per square foot Commercial is \$0.21 and Office is \$0.33.

	FY 2024-25 Actual
Revenues:	
Impact Fees	\$ 15,382
Interest Income	21,186
Transfers in - operating	
Total Revenues	<u>36,568</u>
Expenditures:	
Operating Expenses	<u>-</u>
Excess of Revenues Over Expenditures	<u>36,568</u>
Other Financing Uses:	
Capital Transfers Out	<u>-</u>
Excess of Revenues Over (Under) Expenditures and Other Financing Uses	<u>36,568</u>
Fund Balance, Beginning of Year	<u>426,745</u>
Fund Balance, End of Year	<u>\$ 463,313</u>

Fire Protection Funds were not spent on improvements in FY 2024-25. The City has not determined sufficient funds have been collected for projects at this time and there were no projects that were identified in the prior year's report that requires a response to section 66006(b)(1)(F) reporting requirements. There are no interfund transfers or loans made from the Fire Protection Fund. There were no refunds made from the Fire Protection Fund, and no one was entitled to receive a refund.

Police Protection Fund (Fund 212)

The purpose of the Police Protection Fee is to ensure that new development funds its share of police protection facilities. This fee provides funding for the expansion of police facilities, including upgrades to its records management system, upgrades to property and evidence storage, and new community safety cameras. The 10-Year CIP schedule includes an upgrade to the Police Departments Report Management System in FY 2026-27 totaling \$25,000 and a Property and Evidence Storage System Upgrade in FY 2027-28 totaling \$25,000.

The Current Amount of the DIF for Residential per square foot is \$0.17 and for Nonresidential per square foot Commercial is \$0.15 and Office is \$0.23.

	FY 2024-25 Actual
Revenues:	
Impact Fees	\$ 11,920
Interest Income	3,378
Total Revenues	15,299
Expenditures:	
Operating Expenses	-
Excess of Revenues Over Expenditures	15,299
Other Financing Uses:	
Capital Transfers Out	-
Excess of Revenues Over (Under) Expenditures and Other Financing Uses	15,299
Fund Balance, Beginning of Year	64,022
Fund Balance, End of Year	\$ 79,321

Police Protection Funds were not spent on improvements in FY 2024-25. The City has not determined sufficient funds have been collected for projects at this time and there were no projects that were identified in the prior year's report that requires a response to section 66006(b)(1)(F) reporting requirements. There are no interfund transfers or loans made from the Police Protection Fund. There were no refunds made from the Police Protection Fund, and no one was entitled to receive a refund.

Park Facilities Fund (Fund 213)

The City plans to use park and recreation facilities fee revenue to purchase parkland and open space and construct improvements to add to the system of park facilities that serves new development. The City may only use impact fee revenue to provide facilities and intensify usage of existing facilities needed to serve new development. The 10-Year CIP schedule includes the following projects:

- Expansion to the ADA Bathrooms at Elm Street Park in FY 2026-27 totaling \$175,000.
- Design and Construction of a new Park Plaza at Short street with funding in FY 2026-27 totaling \$135,000 and in FY 2032-33 totaling \$600,000.
- Pump Track and Skate Park in FY 2030-31 totaling \$100,000.

The Current Amount of the DIF for Residential per square foot is \$3.27. Nonresidential property is not subject to this fee.

	FY 2024-25 Actual
Revenues:	
Impact Fees	\$ 63,817
Interest Income	75,786
Total Revenues	139,603
Expenditures:	
Operating Expenses	-
Excess of Revenues Over Expenditures	139,604
Other Financing Uses:	
Capital Transfers Out	-
Excess of Revenues Over (Under) Expenditures and Other Financing Uses	139,604
Fund Balance, Beginning of Year	1,511,892
Fund Balance, End of Year	\$ 1,651,496

Park Facilities Funds were not spent on improvements in FY 2024-25. The City has not determined sufficient funds have been collected for projects at this time and there were no projects that were identified in the prior year's report that requires a response to section 66006(b)(1)(F) reporting requirements. There are no interfund transfers or loans made from the Park Facilities Fund. There were no refunds made from the Park Facilities Fund, and no one was entitled to receive a refund.

Park Improvement Fund (Fund 214)

The purpose of the park improvement fee is to be used to maintain the adopted level of service for neighborhood and community parks. The 10-Year CIP schedule includes an upgrade to the Foot Bridge and Kiosk at Entrance of the James Way Open Space in FY 2026-27 totaling \$50,000. The City will continue to use these funds for turf rehabilitation each fiscal year until the balance is drawn down.

This development impact fee is no longer being collected as of April 14, 2024. Revenue was received in FY 2024-25 on permit fees from a building permit started in 2022 and finalized in FY 2024-25.

	FY 2024-25 Actual
Revenues:	
Impact Fees	\$ 59,967
Interest Income	11,460
Total Revenues	71,427
Expenditures:	
Operating Expenses	36,226
Excess of Revenues Over Expenditures	35,201
Other Financing Uses:	
Capital Transfers Out	-
Excess of Revenues Over (Under) Expenditures and Other Financing Uses	35,201
Fund Balance, Beginning of Year	207,747
Fund Balance, End of Year	\$ 242,948

Park facilities impact fees were spent on turf rehabilitation FY 2024-25 totaling \$36,226 which represents 100% of the total cost of the improvements. The City had not determined sufficient funds had been collected for projects in the prior year's report that requires a response to section 66006(b)(1)(F) reporting requirements. There are no interfund transfers or loans made from the Park Improvement Fund. There were no refunds made from the Park Improvement Fund, and no one was entitled to receive a refund.

Recreation Facilities Fund (Fund 215)

The purpose of the recreation facilities impact fee is to ensure that new development funds its fair share of recreation facilities. The City's recreation facilities inventory is comprised of the Community Center/Woman's Club, Historical Society Complex, and Mark M. Millis Community Center. The City plans to construct a new community center to replace the Millis Community Center. The 10-Year CIP schedule includes new Recreation Services/Community Center Building with funding totaling \$15,000 allocation in FY 2027-28 and FY 2028-29.

The Current Amount of the DIF for Residential per square foot is \$0.17. Nonresidential property is not subject to this fee.

	FY 2024-25 Actual
Revenues:	
Impact Fees	\$ 8,902
Interest Income	1,767
Expense Recovery	
Total Revenues	10,669
Expenditures:	
Operating Expenses	-
Excess of Revenues Over Expenditures	10,669
Other Financing Uses:	
Capital Transfers Out	-
Excess of Revenues Over (Under) Expenditures and Other Financing Uses	10,669
-	-
Fund Balance, Beginning of Year	32,468
Fund Balance, End of Year	\$ 43,137

Recreation facilities impact fees were not spent on improvements in FY 2024-25. The City has not determined sufficient funds have been collected for projects at this time and there were no projects that were identified in the prior year's report that requires a response to section 66006(b)(1)(F) reporting requirements. There are no interfund transfers or loans made from the Recreation Facilities Fund. There were no refunds made from the Recreation Facilities Fund and no one was entitled to receive a refund.

Traffic Signalization Fund (Fund 222)

The purpose of the Traffic Signalization Impact Fee is to install traffic signals needed to serve future development in the City. The fee revenues are used to fund the construction of traffic signal systems, signs, and other traffic control devices. The projects are based on the City's signalization plan and General Plan Circulation Element. The 10-Year CIP schedule includes adding Opticom Preemptive Devices to all remaining traffic signals within City Limits in FY 2027-28 totaling \$84,000.

This development impact fee is no longer being collected as of April 14, 2024. Revenue was received in FY 2024-25 on permit fees from a building permit started in 2022 and finalized in FY 2024-25.

	FY 2024-25 Actual
Revenues:	
Traffic Signal Assessments	\$ 17,977
Interest Income	58,911
Total Revenues	\$ 76,888
Expenditures:	
Operating Expenses	-
Excess of Revenues Over Expenditures	76,888
Other Financing Uses:	
Capital Projects	37,015
Excess of Revenues Over (Under) Expenditures and Other Financing Uses	39,872
Fund Balance, Beginning of Year	1,195,833
Fund Balance, End of Year	\$ 1,235,706

Traffic signalization impact fees were spent on improvements in FY 2024-25 totaling \$37,015 which represents 100% of the total cost of the improvements related to the Opticom Preemptive Devices installed on City traffic signals. There are no interfund transfers or loans made from the Traffic Signalization Fund. There were no refunds made from the Traffic Signalization Fund and no one was entitled to receive a refund.

Transportation Facility Impact Fund (Fund 224)

The purpose of the transportation impact fee is to ensure that transportation facilities and demand can accommodate growth within the City. The fees will fund projects identified in the Arroyo Grande Citywide Circulation Study to mitigate new development's impact on traffic level of service as new development added trips to the City's circulation network. The 10-Year CIP schedule includes the following projects in FY 2025-26:

- Halcyon Road Complete Streets project totaling \$788,500;
- Huasna Road, Corbett Canyon, and East Branch Street Intersection Roundabout totaling \$400,000; and
- Software for Public Safety Camera System to allow Traffic Counts totaling \$50,000.

The 10-Year CIP schedule includes the following projects in FY 2026-27:

- Traffic Way Corridor Plan totaling \$472,000; and
- Huasna Road, Corbett Canyon, and East Branch Street Intersection Roundabout totaling \$1,600,000.

The Current Amount of the DIF for Residential per square foot is \$1.39 and for Nonresidential per square foot Commercial is \$7.05 and Office is \$7.39.

	FY 2024-25 Actual
Revenues:	
Transportation Impact Fees	\$ 107,798
Interest income	140,910
Total Revenues	<u>248,708</u>
Expenditures:	
Operating Expenses	<u>-</u>
Excess of Revenues Over Expenditures	<u>248,708</u>
Other Financing Uses:	
Capital Projects	<u>-</u>
Excess of Revenues Over (Under) Expenditures and Other Financing Uses	<u>248,708</u>
Fund Balance, Beginning of Year	<u>2,835,751</u>
Fund Balance, End of Year	<u>\$ 3,084,459</u>

Transportation facility impact fees were not spent on improvements in FY 2024-25. The City had not determined sufficient funds had been collected for projects in the prior year's report that requires a response to section 66006(b)(1)(F) reporting requirements. There are no interfund transfers or loans made from the Transportation Facility Impact Fund. There were no refunds made from the Transportation Facility Impact Fund and no one was entitled to receive a refund.

Water Neutralization Impact Fund (Fund 226)

The purpose of this fee is to ensure that water facilities and demand can accommodate growth within the City. The need for water facilities improvements is based on the water demand placed on the system by development and the Water System Master Plan.

The Current Amount of the DIF are assessed at time of permit issuance for all new commercial buildings and when residential dwelling units are created. This fee allows the developer to pay this fee instead of searching out all nearby water uses that are not under current standard of low flush toilets and other water saving devices.

City fee is \$5,946 per acre-foot.

To calculate the fee, first find the use factor from the May 1990 City of San Luis Obispo Water Use Factor chart.

- Residential uses are based on the average acre-feet/year per dwelling unit, apartment, motel room, etc.
- All other uses are based on the acre-feet/year per 1000 square feet of floor area.

For residential uses, multiply \$5,946 by the water use factor, then multiply by the total number of dwelling units or guest rooms and that will result in the fee to be charged.

Single-Family Residence Chart (for individual dwellings only)

Lot sizes of less than 0.09 acre	(up to 3,920 Sq Ft)	0.26/dwelling	\$1,546.
Lot sizes between 0.1 and 0.25 acre	(between 3,921 & 10,890 sq ft)	0.37/dwelling	\$2,200.
Lot sizes greater than 0.26 acre	(greater than 10,890 sq ft)	0.75/dwelling*	\$4,459.
<i>*This may be reduced to 0.56/dwelling, if there is a recorded easement running with land to, to limit irrigated planting area to 3,000 square feet or less. = \$3,330.</i>			

For all other uses, divide the water use factor (from the chart) by 1,000, and then multiply it by the actual square footage. Take this result and multiply it by the City fee of \$5,946. The result is the total fee due for water neutralization.

Sample: 1545 sq. ft Office, General use (non-medical), water use factor = .082 per 1,000 sq. ft.

Calculation: $.082/1,000 = .000082 \times 1545 = .12669$

$.12669 \times \$5,946 = \text{Water neutralization fee of } \$753.$

Here is a reporting of the Revenues, Expenditures, and change in Fund Balances at June 30, 2025.

	FY 2024-25 Actual
Revenues:	
Water Neutralization Fee	\$ 38,713
Interest Income	12,299
Transfer In - Water Fund	-
Total Revenues	<u>51,012</u>
Expenditures:	
Operating Expenses	<u>26,705</u>
Excess of Revenues Over/(Under)	
Expenditures	<u>24,307</u>
Other Financing Uses:	
Capital Projects	<u>-</u>
Excess of Revenues Over	
(Under) Expenditures and	
Other Financing Uses	<u>24,307</u>
Fund Balance, Beginning of Year	<u>251,183</u>
Fund Balance, End of Year	<u>\$ 275,490</u>

Water Neutralization Impact fees were spent on improvements in FY 2024-25 totaling \$37,015 which represents 100% of the total cost is related to the Washing Machine and Cash for Grass Rebate Programs. The City had not determined sufficient funds had been collected for projects in the prior year's report that requires a response to section 66006(b)(1)(F) reporting requirements. There are no interfund transfers or loans made from the Water Neutralization Impact Fund. There were no refunds made from the Water Neutralization Impact Fund and no one was entitled to receive a refund.

Storm Drain Facility Fund (Fund 231)

The purpose of this fee is to ensure that storm drain facilities and demand can accommodate growth within the City. Most new development generates storm water runoff that must be controlled through storm drain facilities by increasing the amount of land that is impervious to precipitation. The 10-Year CIP schedule includes Corrugated Metal Pipe Investigation and Repair with allocations over multiple fiscal years:

- FY 2026-27 totaling \$10,000
- FY 2027-28 totaling \$2,500
- FY 2029-30 totaling \$2,500
- FY 2031-32 totaling \$10,000
- FY 2033-34 totaling \$10,000

The 10-Year CIP schedule includes Trash amendment compliance as mandated by the MS4 Stormwater Permit required by the State of California with allocations over multiple fiscal years:

- FY 2026-27 totaling \$2,500
- FY 2027-28 totaling \$5,000
- FY 2028-29 totaling \$2,500

The Current Amount of the DIF for Residential per square foot is \$0.03 and for Nonresidential per square foot Commercial and Office is \$0.01.

	FY 2024-25 Actual
Revenues:	
Drainage Fees	\$ 5,819
Interest Income	390
Total Revenues	6,210
Expenditures:	
Operating Expenses	-
Excess of Revenues Over Expenditures	6,210
Other Financing Uses:	
Capital Projects	-
Excess of Revenues Over (Under) Expenditures and Other Financing Uses	6,210
Fund Balance, Beginning of Year	5,965
Fund Balance, End of Year	\$ 12,174

Storm drain impact fees were not spent on improvements in FY 2024-25. The City had not determined sufficient funds had been collected for projects in the prior year's report that requires a response to section 66006(b)(1)(F) reporting requirements. There are no interfund transfers or loans made from the Storm Drain Facility Fund. There were no refunds made from the Storm Drain Facility Fund and no one was entitled to receive a refund.

Water Availability Fund (Fund 241)

This purpose of this fee is to account for the accumulation of water availability charge revenues. The Water Availability charge was enacted pursuant to the provision of Section 38743 of the Government Code, and Section 13.04.040 of the City Municipal Code. Water availability charges are imposed upon each parcel of property not served with city water. These charges are restricted for the sole purpose of expanding water supply.

The Current Amount of the Water Availability charge is \$2,650 per parcel not served with city water.

	FY 24-25 Actual
Revenues:	
Interest Income	\$ -
Water Availability Charges	39,200
Total Revenues	39,200
Expenditures:	
Operating Expenses	-
Excess of Revenues Over Expenditures	39,200
Other Financing Uses:	
Capital Projects	-
Excess of Revenues Over (Under) Expenditures and Other Financing Uses	39,200
Fund Balance, Beginning of Year	73,035
Fund Balance, End of Year	\$ 112,235

Water Availability impact fees were not spent on improvements in FY 2024-25. The City had not determined sufficient funds had been collected for projects in the prior year's report that requires a response to section 66006(b)(1)(F) reporting requirements. There are no interfund transfers or loans made from the Water Availability Fund. There were no refunds made from the Water Availability Fund and no one was entitled to receive a refund.

Sewer Facility Fund (Fund 634)

The City's Sewer Facility fee is a sewer capacity fee imposed pursuant Government Code, section 66013 and is therefore only subject to the annual reporting requirements of section 660013(d) and not the annual and five-year reporting requirements pursuant to Chapter 5 of the Mitigation Fee Act. The annual reporting for this fee is being provided in this report for convenience only.

The purpose of this fee is to ensure that sewer facilities can accommodate growth within the City. The need for sewer facilities improvements is based on the sewer demand placed on the system by development and the Wastewater System Master Plan.

The 10-Year CIP schedule includes:

- Trenchless Sewer Rehabilitation, that will upgrade clay sewers to smooth all pipe that will increase capacity, in FY 2026-27 totaling \$138,744, in FY 2027-28 totaling \$432,200, in FY 2029-30 totaling \$475,000, in FY 2031-32 totaling \$300,000.
- Huasna Road Sewer Upgrade in FY 2034-35 totaling \$850,000.

The Current Amount of the Sewer Facility fees for Residential per square foot is \$0.60 and for Nonresidential per square foot Commercial is \$0.26 and Office is \$0.29.

	FY 24-25 Actual
Revenues:	
Interest Income	\$ 21,564
Sewer Facility Charges	157,632
Total Revenues	179,196
Expenditures:	
Operating Expenses	-
Excess of Revenues Over Expenditures	179,196
Other Financing Uses:	
Capital Projects	-
Excess of Revenues Over (Under) Expenditures and Other Financing Uses	179,196
Fund Balance, Beginning of Year	378,609
Fund Balance, End of Year	\$ 557,804

Sewer Facility impact fees were not spent on improvements in FY 2024-25. There are no public improvements that are anticipated to be undertaken in the following fiscal year. There are no interfund transfers or loans made from the Sewer Facility Fund. There were no refunds made from the Sewer Facility Fund and no one was entitled to receive a refund.

Water Facility Fund (Fund 642)

The City's Water Facility fee is a water capacity fee imposed pursuant Government Code, section 66013 and is therefore only subject to the annual reporting requirements of section 660013(d) and not the annual and five-year reporting requirements pursuant to Chapter 5 of the Mitigation Fee Act. The annual reporting for this fee is being provided in this report for convenience only.

The purpose of this fee is to ensure that water facilities can accommodate growth within the City. The need for water facilities improvements is based on the water demand placed on the system by development and the Water System Master Plan.

The 10-Year CIP schedule includes:

- Water Main and Service Replacements, includes upgrading Vernon from a 4 inch to a 6 inch main upgrade and Phased Main Replacement for Wesley from Cast Iron to PVC in FY 2025-26 totaling \$401,100.
- Phased Main Replacements, upgrading from cast iron to PVC which will increase capacity, in FY 2026-27 totaling \$191,955 and in FY 2031-32 totaling \$429,800.
- Miller Way Booster Zone Upgrade in FY 2028-19 totaling 150,000.
- Lierly Lane to Coach Road Upgrade in FY 2031-32 totaling \$315,000.
- Coach Road and Greenwood Drive Upgrades in FY 2033-34 totaling \$292,500.

The Current Amount of the water capacity fee is based on meter size shown in the table below:

Meter Size	Water Capacity Fee per Meter
5/8 inch	\$ 2,629
3/4 inch	3,943
1 inch	6,573
1-1/2 inch	13,145
2 inch	21,032
3 inch	39,435
4 inch	65,725
6 inch	131,450

Here is a reporting of the Revenues, Expenditures, and change in Fund Balances at June 30, 2025.

	FY 24-25 Actual
Revenues:	
Interest Income	\$ 56,041
Water Main Charges	-
Distribution Charges	87,862
Total Revenues	143,903
Expenditures:	
Operating Expenses	-
Excess of Revenues Over Expenditures	143,903
Other Financing Uses:	
Capital Projects	-
Excess of Revenues Over (Under) Expenditures and Other Financing Uses	143,903
Fund Balance, Beginning of Year	1,107,830
Fund Balance, End of Year	\$ 1,251,733

Water Facility impact fees were not spent on improvements in FY 2024-25. There are no public improvements that are anticipated to be undertaken in the following fiscal year. There are no interfund transfers or loans made from the Water Facility Fund. There were no refunds made from the Water Facility Fund and no one was entitled to receive a refund.